
PAPERBOY

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Christopher Waller broke ranks with the hike talk and said he could back holding rates in September; the market added more than a percent on it, hours before the August payrolls print that will settle the argument.

AI

Four frontier labs went down at once

WHAT HAPPENED

ChatGPT, Claude, Gemini and Grok all degraded within the same window on 3 September. OpenAI took the worst of it — more than 40,000 Downt detector reports and at least fifteen affected components, including conversations, login, search, voice, image generation, the agent and Codex Desktop. Its status page said only "We are investigating the issue for the listed services" before reporting a mitigation applied. Anthropic confirmed elevated error rates across Opus 4.8, Opus 5, Fable/Mythos 5 and Opus 4.6 (~1,500 reports) before returning to baseline; Grok saw a similar report volume; Gemini was lightest, a few hundred reports tied to API keys. [No cause has been given publicly by anyone.](#)

WHAT IT MEANS

Nobody has claimed a common cause, and the likeliest explanation is coincidence plus a shared dependency somewhere in the CDN-and-cloud layer rather than one bad deploy. Either way it is the first time the whole frontier tier has been unavailable simultaneously, which is a useful thing for anyone building on these APIs to have watched. Multi-provider failover is the standard mitigation and it did not help on Thursday.

WATCH NEXT

Whether OpenAI or Anthropic publish a post-mortem naming the dependency. [Neither has yet.](#)

The Fed put the data-centre buildout in its own outlook

WHAT HAPPENED

In his 3 September speech, Fed Governor Christopher Waller folded AI capital spending into the growth case rather than treating it as a market phenomenon: "Data center plans point to continued rapid growth in business investment associated with the ongoing buildout of AI and related technological upgrades," alongside "High-tech investment continues to rise at a rapid pace." He expects real GDP to grow "a bit more than 2 percent this year." [The full text is on federalreserve.gov](#). Reported summaries had him calling the buildout "legitimate economic activity" — that phrase is not in the speech, and we checked.

WHAT IT MEANS

This is the closest a sitting governor has come to saying the AI buildout is load-bearing for US growth. It cuts both ways: it makes a bubble unwinding a macro event rather than an equity one, and it gives the hawks a reason to think demand is stronger than the labour data suggest.

WATCH NEXT

Whether the September SEP, out 16 September, revises 2026 growth up on business investment.

SEMICONDUCTORS

One thing on the beat, but it is the number that matters.

Samsung has taken a third of the HBM market

WHAT HAPPENED

Counterpoint Research puts Samsung Electronics at [33% of high-bandwidth memory revenue in the second quarter](#), up from 21% in the first — close to a doubling in three months. SK hynix fell to 50% from 64% a year earlier; Micron slipped to 18% from 21% the previous quarter. Samsung's line is that "demand for HBM4 is growing rapidly in line with customers' ramp-up schedules for the second half," and it expects HBM4 to be more than 60% of its own HBM revenue in the back half of the year. [Counterpoint's own numbers are here](#); the figures ran in several Korean outlets, not one.

WHAT IT MEANS

SK hynix's premium has rested on being the sole qualified HBM3E supplier into Nvidia. That is over. A second qualified vendor at scale is how HBM stops being a seller's market — first on allocation, later on price — and HBM4 is the generation where it happens, because both vendors are qualifying into it at the same time rather than a year apart.

WATCH NEXT

SK hynix's third-quarter margin, and whether the 76% operating margin it printed in Q2 survives a two-supplier HBM4 ramp. Micron's fiscal Q4 lands 30 September.

Waller says he could back a hold, and the market took the hint

WHAT HAPPENED

Fed Governor Christopher Waller, speaking in Washington on 3 September: "If this continues in the data due over the next two weeks, I would be inclined to support holding the target for the federal funds rate at its current setting." He added the other half plainly — "But if inflation comes in hot, I would consider a rate hike." His numbers: three-month core inflation is 3.05% through July, down steadily from 4.76% in February; twelve-month PCE is 3.7% and core 3.3%. On Chair Kevin Warsh, whose Jackson Hole speech set the hawkish frame, Waller recorded agreement, not dissent: "I agree with Chairman Warsh that forward guidance isn't appropriate now." [Primary text](#).

WHAT IT MEANS

This is the first crack in the post-Jackson-Hole assumption that September is a hike meeting. Waller has not argued against Warsh on the rate path — he has attached a hold to two weeks of cooling data, which is a conditional, not a camp. But it is the first governor to say the word "holding" out loud since 28 August, and the curve moved: two-year 4.34%, ten-year 4.77%, both down two basis points on the day ([Treasury par curve](#)).

WATCH NEXT

August CPI on 10 September, then the FOMC on 15–16 September with a fresh dot plot.

Claims stayed low; payrolls land this morning

WHAT HAPPENED

Initial jobless claims were [206,000 for the week ending 29 August](#), up 2,000, with the prior week revised up to 204,000 and the four-week average at 207,250. Continuing claims, which lag a week, were 1,779,000 for the week ending 22 August, up 8,000, with their four-week average down 5,000 at 1,781,750. The August employment situation report was still unpublished at our cut-off — [BLS had July as the current release](#), showing payrolls down 23,000 and unemployment at 4.1%. August prints at 08:30 Eastern today.

WHAT IT MEANS

Claims say nobody is being fired. ADP's +38,000 on Wednesday said nobody is being hired either. That combination is what Waller is betting on: a labour market cool enough to justify a hold without being weak enough to force a cut.

WATCH NEXT

The 08:30 print. A payrolls number near zero with unemployment above 4.2% makes the hold case; a hot average-hourly-earnings figure alongside 3.7% PCE revives the hike.

US stocks had their best day in a month

WHAT HAPPENED

Thursday's closes, on two sources that agree with each other: Dow 53,686, up 624 (+1.18%); S&P 500 7,747, up 81 (+1.06%); Nasdaq Composite 26,584, up 366 (+1.40%); Russell 2000 2,968, up 15 (+0.51%). We could not find the AP wire market wrap for 3 September, which is our usual primary, so these come from Yahoo Finance's historical series and a second market review that matches it to within a point on the Dow — treat the decimals as approximate. Oil is genuinely contested: Fortune had [Brent at \\$99.38, up 3.40%](#), while other trackers put it between \$92 and \$97 the same day.

WHAT IT MEANS

A one-percent-plus day on a Fed governor's conditional is a market that has been pricing a hike and would rather not. The oil spread is the war premium arguing with itself intraday.

WATCH NEXT

Whether the rally survives the payrolls print by lunchtime.

STARTUPS

Crusoe reportedly raised \$3bn at \$30bn

WHAT HAPPENED

Crusoe, which builds and operates AI data centres, has [raised \\$3 billion at a \\$30 billion valuation](#), led by Atreides Management and Valor Equity Partners with Mubadala Capital participating. That triples the \$10 billion it was worth in an October 2025 Series E. The round follows a five-year, \$13 billion cloud contract with Jane Street, and Crusoe has reportedly met banks about an IPO. Note the hedge: every outlet is sourced to Bloomberg's reporting, there is no company announcement, and we found no filing — this is reported, not confirmed closed.

WHAT IT MEANS

A 3x mark in eleven months on an infrastructure business, not a model lab. The Jane Street contract is why: a named, contracted, multi-year revenue line is the thing private AI infrastructure has mostly lacked, and it is what lets a data-centre operator carry a software multiple.

WATCH NEXT

An S-1. If the IPO talk is real, the filing settles both the valuation and the revenue.

Five smaller rounds, all Wednesday

WHAT HAPPENED

From [Wednesday's roundup](#): HubX took \$75m in a Series A led by Point72 Private Investments; Elucid \$55m Series D led by IAG Capital Partners and Elevage; Guardio \$40m in growth capital from angels including the Wiz co-founders; Axle AI \$17.5m Series A led by Base10 Partners; and Cradlewise \$12m Series A led by 3one4 Capital and Prudent Insurance Managers. All five are single-source at this point — one aggregator, no company releases we could fetch — so treat the amounts as reported.

WHAT IT MEANS

A \$75m Series A led by a hedge fund's private arm is the shape of this market: late-stage money reaching earlier because the late stage is priced. Guardio raising growth capital from operators rather than a fund is the other tell.

WATCH NEXT

Whether any of the five confirms with a release. Single-aggregator rounds get restated more often than they get retracted.

US

Missouri's court threw out the new House map and sent it to a vote

WHAT HAPPENED

The Missouri Supreme Court ruled unanimously on 3 September that the Republican-drawn congressional map cannot be used in November, holding that "the referendum petition was legal, sufficient, and timely, and the secretary incorrectly concluded otherwise." The map is void unless voters approve it. The redraw had stretched Representative Emanuel Cleaver's 5th District [more than 100 miles eastward](#) into rural Republican territory. Judge Ginger Gooch wrote the opinion ([Missouri Independent](#)). Attorney General Catherine Hanaway is going to federal court: "We are confident that the federal courts will not allow every Missouri voter to be disenfranchised." We could not obtain the docket number — courts.mo.gov refused our fetches.

WHAT IT MEANS

Missouri is the second mid-decade redraw to be stopped by a state court on state-law grounds, which is the one route federal review struggles to reach. It also puts a congressional map on a ballot, which is rare and slow — the practical effect is that November runs on the old lines.

WATCH NEXT

Hanaway's emergency application, and how fast it moves. Candidate filing deadlines make this a matter of days, not months.

The mail-ballot fight is now at the Supreme Court and in front of a judge at once

WHAT HAPPENED

Judge Indira Talwani heard argument in Boston on 3 September on the administration's USPS mail-ballot rule and declined to rule from the bench, saying she would "get something out as quickly as I can." She was sharp with the government, asking "we've been here for a week and you can't tell me the government is ready to go?" after the Justice Department could not confirm the portal was operational ([Democracy Docket](#)). In parallel the government went up: [United States Postal Service v. California, No. 26A297](#), filed 3 September, asking the Court to lift Talwani's existing restraining order. Justice Jackson set the challengers' response for 10 a.m. Eastern on 8 September.

WHAT IT MEANS

Two clocks now run against each other. Talwani's order expires around 11 September; the Supreme Court could dissolve it before she rules on the merits. North Carolina mails its first ballots today.

WATCH NEXT

Talwani's written order, and the Court's disposition of 26A297 after Tuesday's filing.

Michigan's canvassers cancelled today's meeting

WHAT HAPPENED

The Michigan Board of State Canvassers [cancelled its scheduled 4 September meeting](#) in a notice issued the day before. The state gives no reason. The board deadlocked 2-2 on 24 August over a citizenship-verification measure for the November ballot, and that deadlock is already at the Supreme Court on the interim docket as *Americans for Citizen Voting-Michigan v. Michigan Board of State Canvassers*.

WHAT IT MEANS

A cancelled meeting is not nothing when the board is the body that has to certify the ballot and is one vote short of doing so. Silence here means the question stays with the courts.

WATCH NEXT

A rescheduled date, and any order in the SCOTUS interim case.

Vance says it is not a war; Iran says it hit Kuwait and the UAE

WHAT HAPPENED

Vice President JD Vance said on 3 September he would "not call it a war" absent active shooting, and that talks will not resume until Iran stops striking Gulf shipping. He dismissed Iranian claims that a US strike hit a wedding party: "Iranian state media has not been a very good scribe." ([CBS News](#).) Iran's Artesh claimed missile and drone strikes on Ahmad al Jaber air base in Kuwait and al Minhad in the UAE, targeting "satellite communications systems," "equipment warehouses" and "radar installations" — [the claims are Iranian-official only](#), and a US defence official said no US bases were affected. Neither the Kuwaiti nor Emirati government has confirmed anything.

WHAT IT MEANS

The gap between Iranian claims and any independent confirmation has been the pattern of this campaign for a week now. What is new is a US principal publicly refusing the word war while strikes continue, which reads as an attempt to keep the thing below the threshold that would require Congress.

WATCH NEXT

Any Kuwaiti or Emirati statement of their own. Host-government confirmation is the fact that would change the picture.

Israel says it holds the Ali Taher ridge

WHAT HAPPENED

The Israeli military announced early on 4 September that it had secured operational control of the Ali Taher ridge in southern Lebanon, clearing Hezbollah fighters from underground routes after a siege that began in late June ([reported at 3:51 a.m. local](#)). Iran had said it would respond "forcefully" to Israeli operations there. This is an IDF claim about its own operation and has not been independently verified.

WHAT IT MEANS

Two and a half months for one ridge is the tempo of this campaign, and it is the reason the Lebanon front has stayed separable from the Gulf one. Holding ground is also a commitment: it is harder to leave than to raid.

WATCH NEXT

Whether Hezbollah contests the claim, and whether Iran's "forceful" response materialises as anything.

Witkoff and Kushner are going to Kyiv and Moscow

WHAT HAPPENED

Volodymyr Zelensky said on 3 September that he had spoken to US envoys Steve Witkoff and Jared Kushner, who confirmed trips to both capitals: "We expect to see representatives... here in Kyiv... they will have meetings in both Moscow and Kyiv." [RFE/RL has the account](#). Russia struck Kyiv the same day, hitting a residential high-rise; Mayor Vitali Klitschko reported nine injured, with an initially reported death not subsequently confirmed. No dates for the visits have been published.

WHAT IT MEANS

A shuttle with no announced date and no announced agenda is a signal, not a process. The pairing of an envoy trip with a strike on residential Kyiv is the shape every previous round of this took.

WATCH NEXT

A date. Until there is one, this is the fourth such announcement this year.

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